

BOARD OF CBA

MINUTES

(24.06.2014)

Refinancing Rate for June 24th, 2014

The 24th of June 2014 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Artur Stepanyan, Vaghtang Abrahamyan, Armenak Darbinyan and Ashot Mkrtchyan.

The Board Meeting opened with presentation of Situation Report as of June 24, 2014. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 0.8 percent deflation in May of 2014, and the 12-month inflation kept on declining to 3.6 percent at the end of the month. The May deflation was totally due to 1.4 percent decrease in food prices (with 0.75 pp contribution to the deflation), which was mainly attributable to prices of items ‘vegetable and potato’ and ‘egg’, having dropped by 12.5 percent and 4.8 percent, respectively. During the month, service tariffs reduced by 0.2 percent, making 0.05 pp contribution to the inflation, whereas prices of non-food products increased by 0.3 percent, moderating the inflation by 0.04 pp. Based on the May results, core inflation was 0.01 percent and the 12-month core inflation, 1.1 percent.

Over the last 5 months of 2014, economic activity has been in line with the expectations, and the economic growth indicator at the end of the 2nd quarter is an estimated 4 percent y/y. This was driven mostly by the reported growth of value added in agriculture and services. The private consumption growth rate is within the projection as well – an estimated 4.3 percent y/y/ in the period January-June. However, the private investment continues recovering at a slower-than-expected rate, and the January-June estimation will be -2.2 percent y/y instead of the projected 0.1 percent growth. In view of the expansionary fiscal policy’s impact on the aggregate demand to be seen especially in the second half of 2014, economic growth rates are expected to accelerate to some extent.

Based on the January-May 2014 results, export (trade statistics: FOB) has increased by 3.2 percent and import (trade statistics: CIF), by 2 percent in relation to the previous reference period. Net inflow of private remittances of individuals has grown in the meantime by 4.1 percent y/y.

The Board reflected on the developments in the financial market as interest rates further tended to reduce in May-June in response to cutting of the Refinancing Rate by the Central Bank. So, as of June 18th, average monthly interbank repo rate was 7.4 percent (a 0.4 pp drop against the previous month); market rate of treasury bills with up to 1-year of maturity has fallen by 0.2 pp to 7.79 percent; and interest rate of stock exchange-traded interbank loans has dropped by 0.8 pp to 6.68 percent.

The exchange rate depreciation observable in Armenia's foreign exchange market earlier the year turned to appreciation: as of June 18th 2014, relative to May 13th 2014, average dram exchange rate has appreciated versus the U.S. dollar by 0.67 percent to AMD 410.6; versus Euro by 2.1 percent to AMD 556.6 but it has depreciated versus Russian ruble by 0.1 percent to AMD 11.9.

The world economic growth rates kept on recovering sluggishly and uncertainties associated with geopolitical events persisted over the first half of 2014. The latter has driven world food market prices upward. However, the FAO Food Price Index of June 5th came out with 1.2 percent drop in May against the previous month's index (with 2.5 percent reduction in relation to the same period of the previous year), due to the decrease in prices of item 'dairy products', normally a large constituent in the basket.

According to the Central Bank estimates, in the 2nd quarter of 2014, relative to the previous quarter, the average price of "Brent" crude, as quoted at Intercontinental Exchange, will grow by 0.8 percent (with y/y growth of 5.6 percent). At London Metal Exchange, the copper price will fall by 3.5 percent q/q (with y/y decrease of 6 percent). Based on the U.S. Department of Agriculture and New York Board-Intercontinental Exchange data, there will be an estimated rise in export prices of Hard Red Wheat and Rough Sugar, by 9.8 percent q/q (with y/y increase of 4.2 percent) and 4.8 percent q/q (with y/y decrease of 0.5 percent), respectively.

In the 2nd quarter of 2014, Euro depreciated versus the U.S. dollar by 0.22 percent (with y/y appreciation of 4.6 percent).

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

The Board notes that uncertainties in the light of geopolitical developments in the external sector are persisting driven by the global economy as well as economic prospects in partner countries; however, significant inflationary pressures are still not expected.

Based on the first half 2014 results, economic growth is in line with the expectation. Relative slackness in industry and the low pace with which construction recovers have been offset by higher-than-expected growth in agriculture and services. Expected expansionary fiscal policy since the second half of 2014 as well as eased monetary policy will lead to the expanding of aggregate demand and rebounding of inflation rates in the short run. Because electricity prices are expected to rise since August and some merchandise will start carrying stamp in October-November, the 12-month inflation will increase in the 4th quarter but which will, however, be at the lower bound of the confidence band late in the year. Under such a situation, the Board considers to continue loosening the monetary conditions by lowering the refinancing rate.

The Board has consensus that the Bank will react to further economic developments in domestic and external environment by adjusting the monetary policy adequately while attaining the inflation target in the medium run.

In the June 24th of 2014 meeting, the Board decided to cut the Refinancing Rate by 0.25 pp to 7 percent; the Lombard Repo Rate and Deposit Facility Rate were set at 8.5 percent and 5.5 percent, respectively.